

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$116.89 ▼ 2.11%	12M Price Target \$130.00	52-Week Range \$63.52 – \$153.86	Market Cap \$105.09B
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HOOD: Rate Fears Trim Fintech, But Wealth Pivot Brewing

WHAT HAPPENED

- HOOD is down ~2% today and about 6% off last week's highs — the culprit isn't company-specific, it's a broader fintech selloff as bond yields tick up. Rising yields normally HELP Robinhood (they earn interest on customer cash), but the market is worried higher rates slow down retail trading activity and crypto speculation, which is where HOOD really prints money.
- Morgan Stanley put out a note flagging that Robinhood has "quietly built something bigger" ahead of its September Summit — read: wealth management, retirement, and advisory products. That's the pivot story bulls are leaning on.

WHY IT MATTERS

The narrative is shifting from "meme-stock casino" to "diversified wealth platform" — and that matters because Wall Street pays a MUCH higher multiple for recurring, sticky wealth management revenue than for transactional trading fees. If Robinhood pulls this off, it re-rates closer to Schwab or even a mini-BlackRock rather than a broker. But here's the tension: the stock is already trading like the pivot succeeded (105B market cap on ~\$4B revenue = ~25x sales), so any hiccup in execution gets punished. The current pullback is technical/macro noise, not a thesis-breaker — but it's a reminder that at these levels, HOOD needs to keep delivering surprises.

POLICY & POLITICAL WATCH

Two big things to watch: (1) The SEC's ongoing scrutiny of "payment for order flow" — the practice where HOOD sells your trade orders to market makers, which is ~40% of their transaction revenue. The current SEC under the Trump admin has been friendlier to this practice than the Gensler-era SEC, which is a MAJOR tailwind. (2) The crypto regulatory framework — the FIT21 follow-on legislation and stablecoin bills making their way through Congress would give Robinhood clearer rules to expand crypto offerings, which is now one of their fastest-growing revenue lines. If crypto rules get codified favorably (likely under this Congress), HOOD is a direct beneficiary.

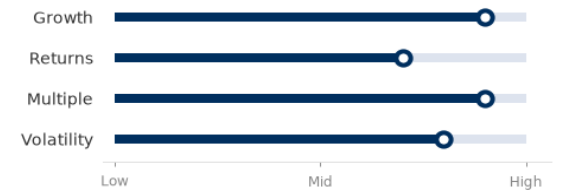
IS IT EXPENSIVE?

HOOD trades at roughly 25x sales and ~63x forward earnings — meaning investors are paying \$63 today for every \$1 the company is expected to earn next year. That's expensive by any conventional yardstick (Schwab trades around 18x earnings). The bull case: if the wealth management pivot works and crypto revenue keeps compounding, the earnings base could double in 2-3 years, making today's price look reasonable in hindsight. The bear case: any slowdown and this stock has a LONG way to fall before it looks cheap.

Key Data

Price (USD)	\$116.89
12M Price Target	\$130.00
Upside / (Downside)	+11.2%
Market Cap	\$105.09B
FY2026E Revenue	\$4,250M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	63.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$128.00	\$118.00	\$105.00
6 Months	\$150.00	\$130.00	\$95.00
1 Year	\$175.00	\$135.00	\$85.00
2 Years	\$220.00	\$160.00	\$75.00
5 Years	\$350.00	\$220.00	\$60.00
10 Years	\$600.00	\$320.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare and Consumer Staples — classic defensive rotation as investors get nervous about rate direction and stretched valuations in growth/tech names.

COOLING OFF: Utilities, Real Estate, Materials — all rate-sensitive and getting hit as yields creep up. Fintech is caught in the crossfire.

ROTATION WATCH: Money is quietly moving out of high-multiple growth (fintech, AI-adjacent) into boring, cash-flow-defensive sectors. This is a "de-risking" trade, not a panic — but it's exactly the environment where a name like HOOD, trading at premium multiples, underperforms.

RELATED PLAY: If you like the "financialization of everything" theme but want less volatility, look at the exchanges (ICE, CME, NDAQ) — they benefit from trading volume without the retail-behavior risk. Coinbase (COIN) is the more levered crypto play if you want that exposure without HOOD's wealth-management execution risk.

WHO'S WINNING IN THIS SPACE?

- SCHW (Charles Schwab): Winning the "sensible broker" trade — cheaper multiple, similar rate-sensitivity benefits, less binary risk.
- IBKR (Interactive Brokers): Consistent execution, growing internationally, sophisticated-trader base is stickier than HOOD's retail crowd.

HOOD CONTEXT: HOOD is lagging peers this week — its higher beta means it falls harder on macro fear days. That's the double-edged sword: when sentiment turns, HOOD will lead on the way back up. Right now it's on the "way down" side of that trade.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$105-110 on rate-driven pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Sustained crypto volume collapse + net interest income miss, or SEC action on payment-for-order-flow

Hedging: Small put spread or pair against a stodgier broker like SCHW